

III. PAYMENT

1. Unless otherwise expressly provided the sale price shall be exclusive of applicable taxes, whether imposed by Central Govt, State Govt or local Bodies or any other authorities. Seller shall be entitled to charge/levy such taxes as so imposed by the said authorities or in force at the time of generation of invoice/delivery, as the case may be, irrespective of delivery time stated in the invoice.
2. Payment shall only be considered to have been made to the extent of the invoiced amount received in the bank account of the seller. If Seller accepts cheques or bill of exchange, such acceptance does not imply that Buyer has effected payment.
3. Payment shall be made by Buyer against delivery unless expressly provided in the invoice.
4. In case of Sale against letter of credit (LC), LC shall be open before deliver of goods for the invoice amount and shall be irrecoverable and without recourses with a schedule bank in India in favor of the Seller for the full amount of the invoice quantity. The format of LC shall be executed only after approval of the seller. LC shall be discharged by the bank in favor of Seller on presentation of invoice and/ or delivery ordered issued by the Seller, and/ or relative railway, transport receipt. LC shall not require Sellers to produce any documents to the bank other than that mention in this clause.
5. All claims of Seller arising from transactions with Buyer shall become due and payable immediately as per para II (2&3) of this clause unless otherwise extended in writing by the seller.
6. If any payment that has become due and payable is not made by Buyer within grace period, if any, provided by seller in writing, Seller shall have the right to cancel the contract without prejudice to Seller's other rights and Buyer shall without prejudice to any other right of Seller be liable to pay interest at a yearly rate of not less than 5% in excess of the commercial bank lending rate to prime borrowers of the country of either Seller or Buyer at Seller's option..
7. In case invoices have been raised for goods to be dispatched in installment, Seller shall also have the right to demand invoiced amount even though goods still to be delivered as per clause 3.
8. Seller shall have rights to cancel all contracts and grace period granted to buyer for payment if Seller has any reasonable doubts about Buyer's solvency. Under such circumstance all amount payable including interest shall be due for payment immediately.
9. Any expenses, including fees and tax arising in connection with the contract in buyer's and seller's country which was not known at the date when the contract was concluded, shall be borne by Buyer.